

1.3 Size of Companies

As a beginner, we have a lot of questions when investing in the stock market. We need to develop sufficient expertise to analyze which stocks are a better fit for our investing plans and priorities because the stock market has a diverse investment options. Each offering offers a different level of risk and a different level of return potential.

Companies traded on the stock exchanges can be categorized into these three broad categories based on their Market Capitalization. These classifications are important to understand the behaviour of the stocks.

Large-Cap

Market Cap is > 10,000 Cr.

- Suitable for investors with a long-term investing horizon looking for lower risk.
- Less volatile and highly liquid.
- Little risk, relatively lower returns.
- Good reputation and higher chances of generating stable returns.



Mid-Cap

1,000 cr. < Market Cap < 10,000 Cr.

- Suitable for moderately risk tolerant with long term investing horizon.
- Relatively more volatile and quite liquid.
- Higher risk than large-cap.
- Relatively higher return potential.



Small-Cap

Market Cap is < 1,000 Cr.

- Suitable for risk-seeking investors.
- Highly volatile and less liquid.
- Higher risk, high returns.
- Higher potential for growth compared to large cap and mid cap.

